

THE ALGOMIST



FULL
STRATEGY
WALKTHROUGH
VIDEO
INCLUDED

LBS STRATEGY

LEVEL
BASED
SCALPING

PRICE ACTION-BASED
SCALPING METHOD
DESIGNED FOR TRADERS
WHO WANT CONSISTENT,
HIGH-PROBABILITY SETUPS
WITH CLEAR RULES.



WHAT'S INSIDE THIS GUIDE

Introduction	02
Part 1: The Two-Timeframe System	03
Part 2: The Levels	05
Part 3: Price Action Entry Signatures	10
Part 4: Directional Bias	14
Part 5: Step-by-Step Trade Executions	16
Part 6: Risk Management & Position Sizing	21
Part 7: Common Mistakes and How to Avoid Them	23
Part 8: Session Planning and Psychology	25
Part 9: Prop Firm Scaling Strategy	27
Part 10: Practice and Preparation	29
Part 11: Rules to Live By	31
Part 12: Your Pre-trade Checklist	33
Your Next Steps	35
Final Thoughts	37

INTRODUCTION

Levels tell us WHERE to trade. Price Action tells us WHEN to trade.

Welcome to my LBS trading strategy. LBS stands for Level Based Scalping. This is a price action-based scalping strategy designed for Futures, Forex, CFD & Crypto traders who want consistent, high-probability setups with clear rules.

What makes this strategy different:

- Only 2 timeframes needed (no complex multi-timeframe analysis).
- We only work with 2 types of levels on the charts. Keep things simple.
- The strategy works in every session. However, I recommend mastering one session first.
- The strategy gives multiple trade opportunities per session, so no need to FOMO anymore.
- No special chart timeframes needed (like seconds or tick charts).
- Built for prop firm trading and scaling

This guide will teach you everything you need to know to execute the strategy successfully. Read it carefully, practice diligently, and follow the rules exactly as written.



Watch the video first

This guide is meant to be a supplement to the accompanying video. In the video, I clearly explain how the strategy works. I recommend watching the video first, then referring back to this guide as you put the strategy into practice. Use it as a step-by-step reference to reinforce what you've learned and ensure you don't miss any key details.



01

PART 1 **THE TWO-TIMEFRAME** **SYSTEM**

THE TWO-TIMEFRAME SYSTEM

This strategy uses only two timeframes. Do **not** look at any other timeframes.

5-Minute Chart (Higher Timeframe - HTF)

- Purpose: Identify market condition (trending, consolidating)
- Used for: Marking Support/Resistance zones
- Think of it as: Your "map" showing overall direction and points of interest

2-Minute Chart (Lower Timeframe - LTF)

- Purpose: Execute all entries
- Used for: Taking trades using our price action entry signals
- Think of it as: Your "execution timeframe"

Why only these two?

You're a scalper trading the next 1-3 minutes. Looking at daily or hourly charts is like checking a world map to drive around the block. It's unnecessary and confusing.

These two timeframes are perfectly optimized to work together. The 5-minute gives you direction and points of interest; the 2-minute gives you precision without the noise.



Important timeframe combination message

The 5-minute and 2-minute timeframe combination is my personal favorite combo. Choose higher timeframes if you prefer a more relaxed pace of trading and less time pressure on your decisions.

Opt for lower timeframes if you prefer faster-paced trading with quicker entries and exits. You can use any of the timeframe combinations shown on the right.

HTF (Direction)	LTF (Entry)
30M	10M
15M	5M
10M	3M
5M	2M

02

PART 2 THE LEVELS

SUPPORT/RESISTANCE LEVELS

The LBS strategy uses only **two types of levels**:

- Support/Resistance Levels (drawn on the charts as zones)
- Classic Levels

What are Support/Resistance Levels?

Support and resistance zones are price areas where a market has repeatedly stopped, turned around, or paused in the past. Think of support as a "floor". A price level where buyers tend to step in and push the price back up.

Resistance works the other way, acting like a "ceiling". A price level where sellers tend to step in and push the price back down. These levels aren't exact lines, but zones on the chart where price reactions have happened before, which is why we mark them out on our charts and watch them closely.

When price reaches one of these zones again, it often reacts in a similar way, giving us as scalpers a great reference point for planning quick trade entries and exits.

When marking out your Support/Resistance zones before you start your trading session, always look back to the left on your chart and find the most recently formed Support/Resistance zones as those are the most powerful.



Support/Resistance

WHY THIS WORKS

Support and Resistance zones represent areas where buyers and sellers have previously fought for control. Because many traders remember these prices, they often place new orders there again, causing price to react in a similar way. Rather than predicting the future, we're simply waiting for price to revisit an area where it has already shown a strong reaction.



SUPPORT/RESISTANCE LEVELS

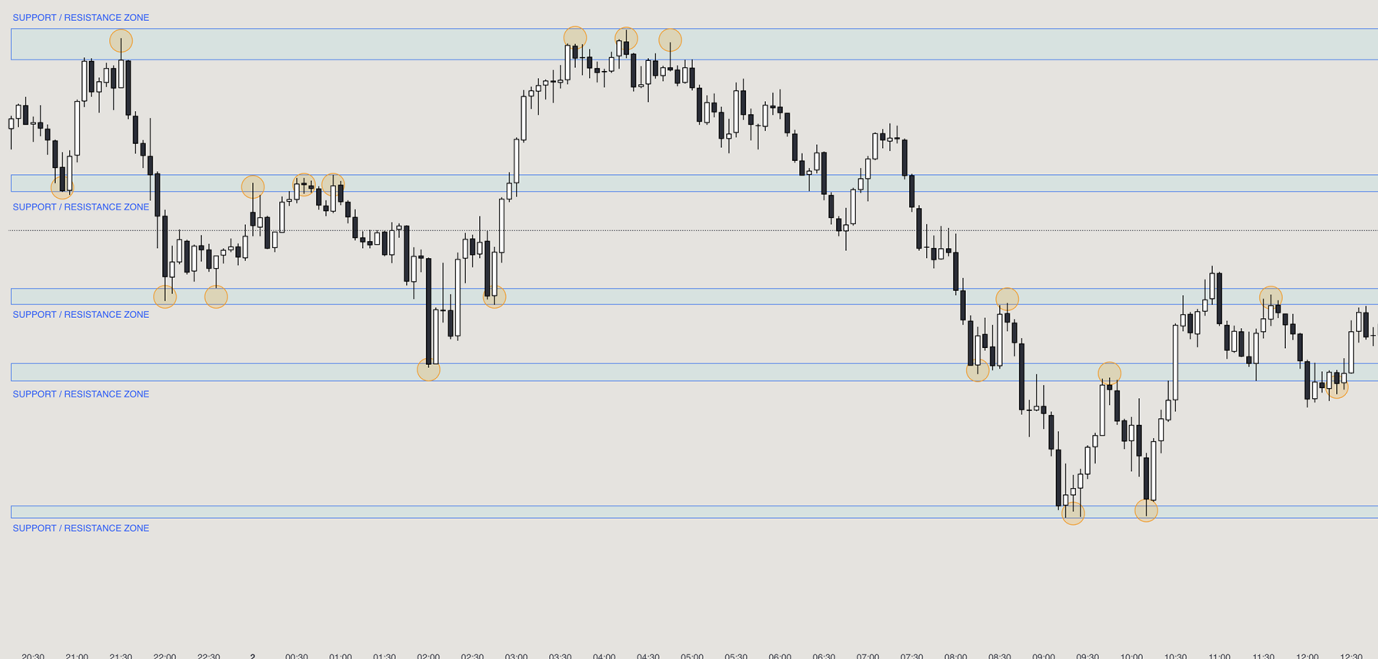
What defines good Support/Resistance Levels?

A level is stronger when:

- ✓ Multiple clear rejections
- ✓ Freshly created
- ✓ Large impulsive move away
- ✓ Higher timeframe (5M) agreement
- ✓ Price hasn't repeatedly chopped through it

Weak levels:

- ✗ Tiny reactions
- ✗ Lots of overlapping candles
- ✗ Tested more than five times already
- ✗ Middle of a range



CLASSIC LEVELS

What are Classic Levels?

A Classic Level is formed by a simple 3-candle pattern: either a bearish candle followed by a bullish candle followed by a correction candle, or a bullish candle followed by a bearish candle followed by a correction candle.

The first combination (**bearish + bullish + correction**) forms a **support level**, while the second combination (**bullish + bearish + correction**) forms a **resistance level**.

A valid Classic Level acts like a magnet, meaning price tends to return to it later. Because of this, we use these levels to set our take profit targets when price comes back to visit them.

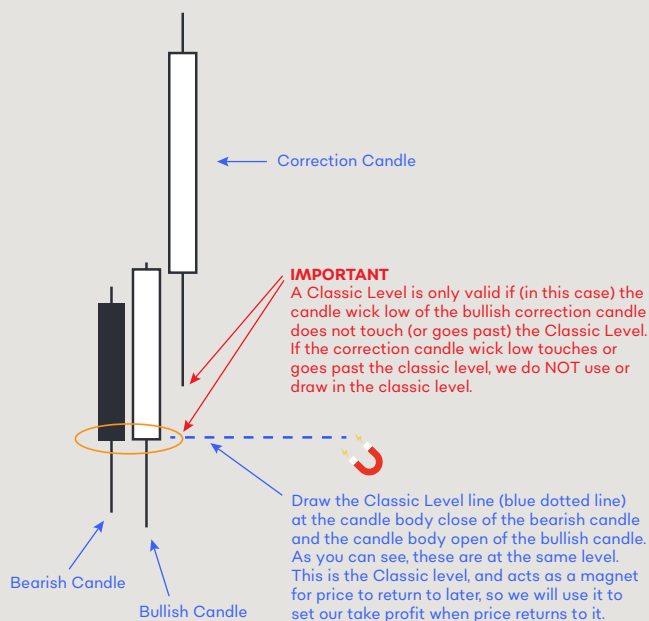


Classic Levels

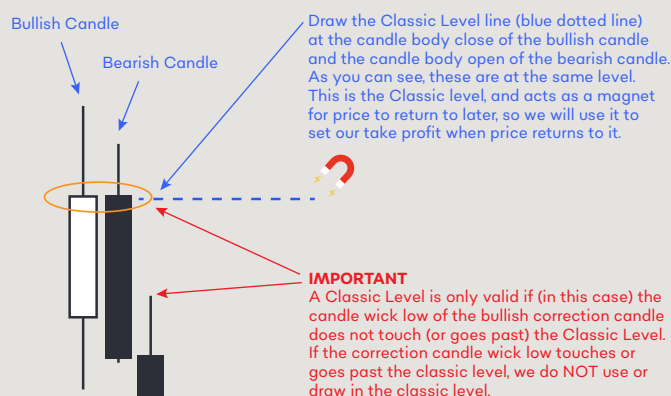
WHY THIS WORKS

A Classic Level marks the exact price where control shifted from buyers to sellers, or vice versa. These areas are often revisited because unfilled orders and market participants remain interested at that price. We use Classic Levels as logical take-profit targets because price naturally tends to gravitate back toward them.

Bearish + Bullish + Correction:

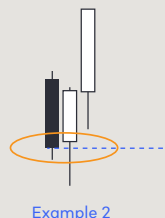
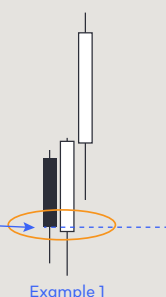


Bullish + Bearish + Correction:

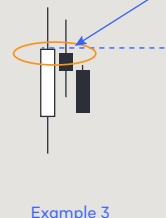


Important note on Classic Levels:

The candle body close of the bearish candle and the candle body open of the bullish candle do not need to line up exactly for a Classic Level to be valid. As long as the candle wick low (in this case) of the bullish correction candle does not touch or goes past the Classic Level, Draw the Classic Level line on the first of the two candles that form the Classic Level. In this case at the bearish candle body close.



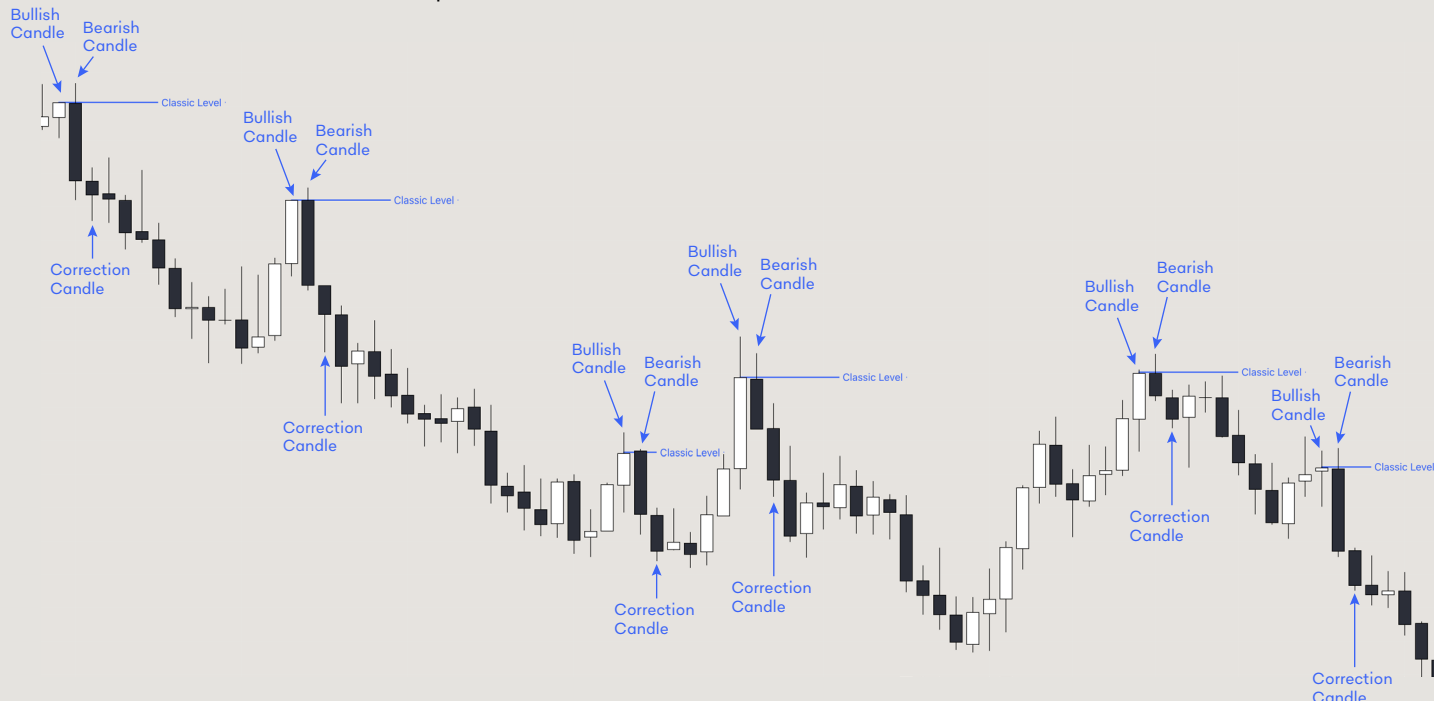
The candle body close of the bullish candle and the candle body open of the bearish candle do not need to line up exactly for a Classic Level to be valid. As long as the candle wick low (in this case) of the bearish correction candle does not touch or goes past the Classic Level, Draw the Classic Level line on the first of the two candles that form the Classic Level. In this case at the bullish candle body close.



CLASSIC LEVELS

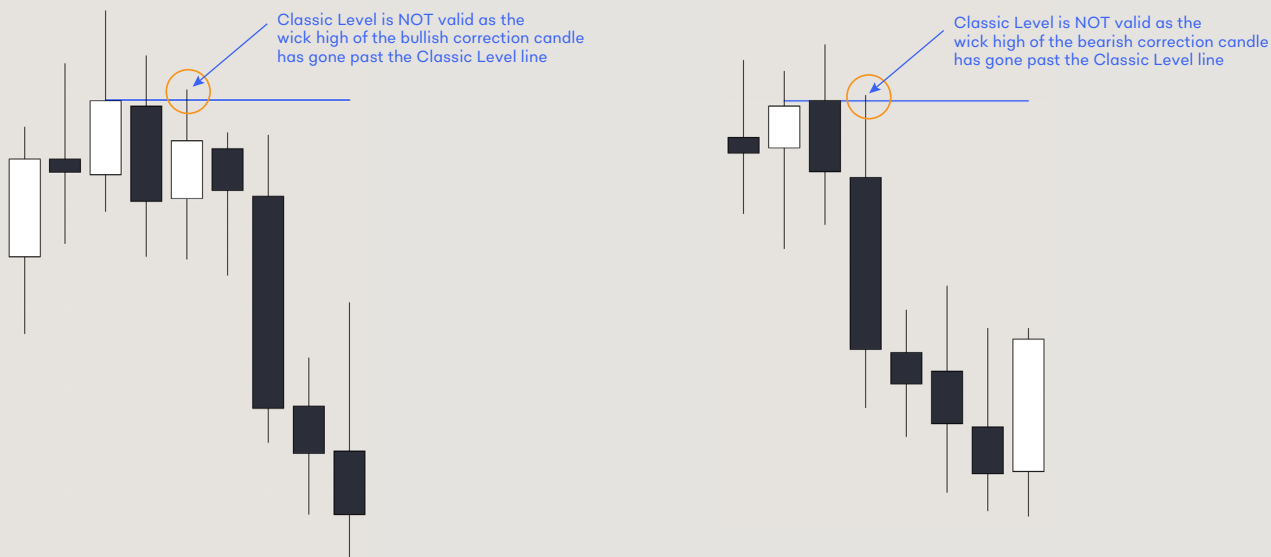
Classic Level Examples

To really help you to identify these classic levels on a chart, have a look at some more examples below.



Non-valid Classic Levels

Below you will find some examples of non-valid Classic Levels:



03

PART 3
PRICE ACTION
ENTRY SIGNATURES

PRICE ACTION ENTRY SIGNATURES

The LBS scalping strategy uses 3 different price action trade entry signatures which we execute on the 2-minute chart.

1. THE BULL 180 AND THE BEAR 180

A bullish engulfing candle (**BULL180**) at a support level, or a bearish engulfing candle (**BEAR180**) at a resistance level, is one of the strongest price action signals a scalper can trade. This is because the engulfing candle shows a clear shift in control: at support, sellers push price down into the zone, but buyers step in with such force that they completely engulf the previous candle, signaling that demand has overwhelmed supply right at that level.

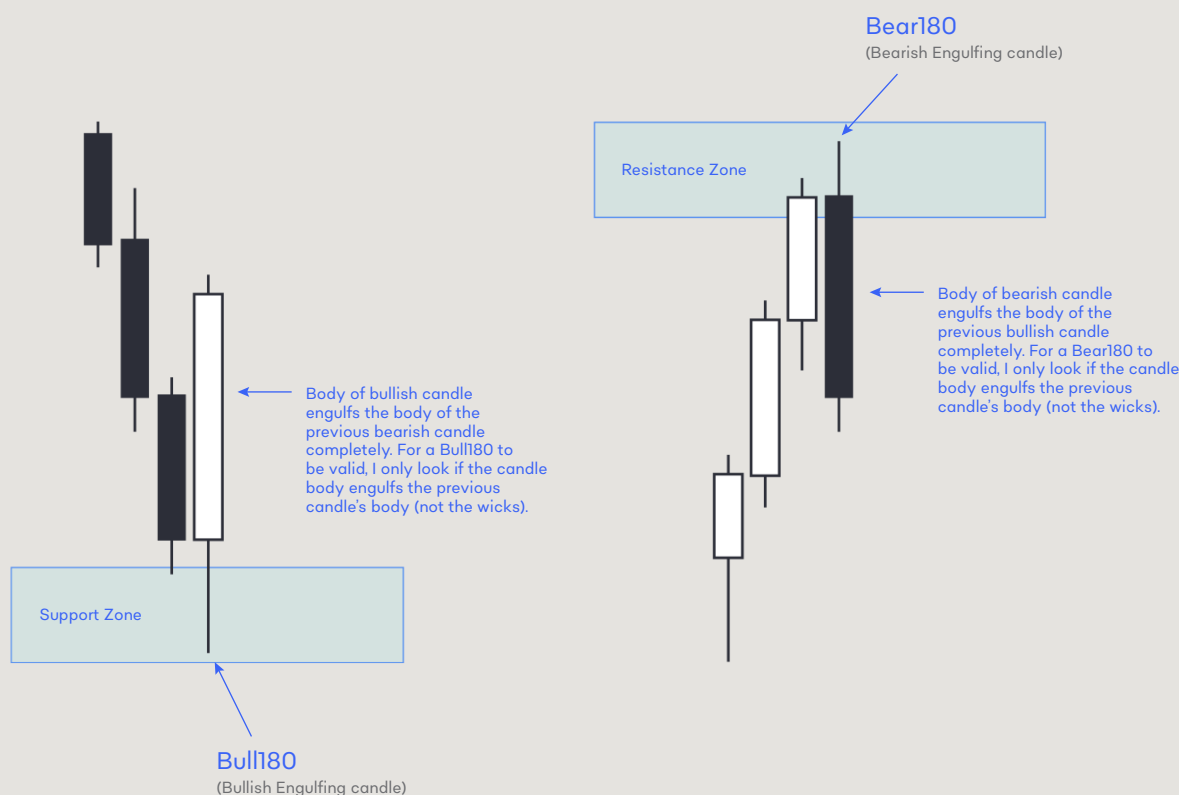
The same logic applies at resistance, but in reverse. Because this pattern combines a proven zone (Support/Resistance) with a strong rejection candle, it gives us a clear, visual confirmation that price is likely to reverse, making it an ideal entry signature with a well-defined stop loss and a high-probability setup.



Bull180/Bear180

WHY THIS WORKS

A Bull180 or Bear180 shows a sudden shift in market control. One side attempts to continue the move but is completely overwhelmed by the opposite side. When this happens at a Support or Resistance zone, it confirms that the level is being defended, giving us a high-probability entry with a clearly defined stop loss.



2. THE TORPEDO

A hammer candle (**TORPEDO**) forming at a Support or Resistance level is another highly reliable price action signature for us scalpers. Its long wick shows that price pushed deep into the zone but was firmly rejected, with buyers (at support) or sellers (at resistance) stepping in and driving price sharply back the other way.

This long wick, paired with a small body near the opposite end of the candle, visually captures the moment control shifted between buyers and sellers right at a key level. Because the rejection happens so clearly and at a proven zone, it gives us a precise, low-risk entry point with a tight stop loss placed just beyond the wick.

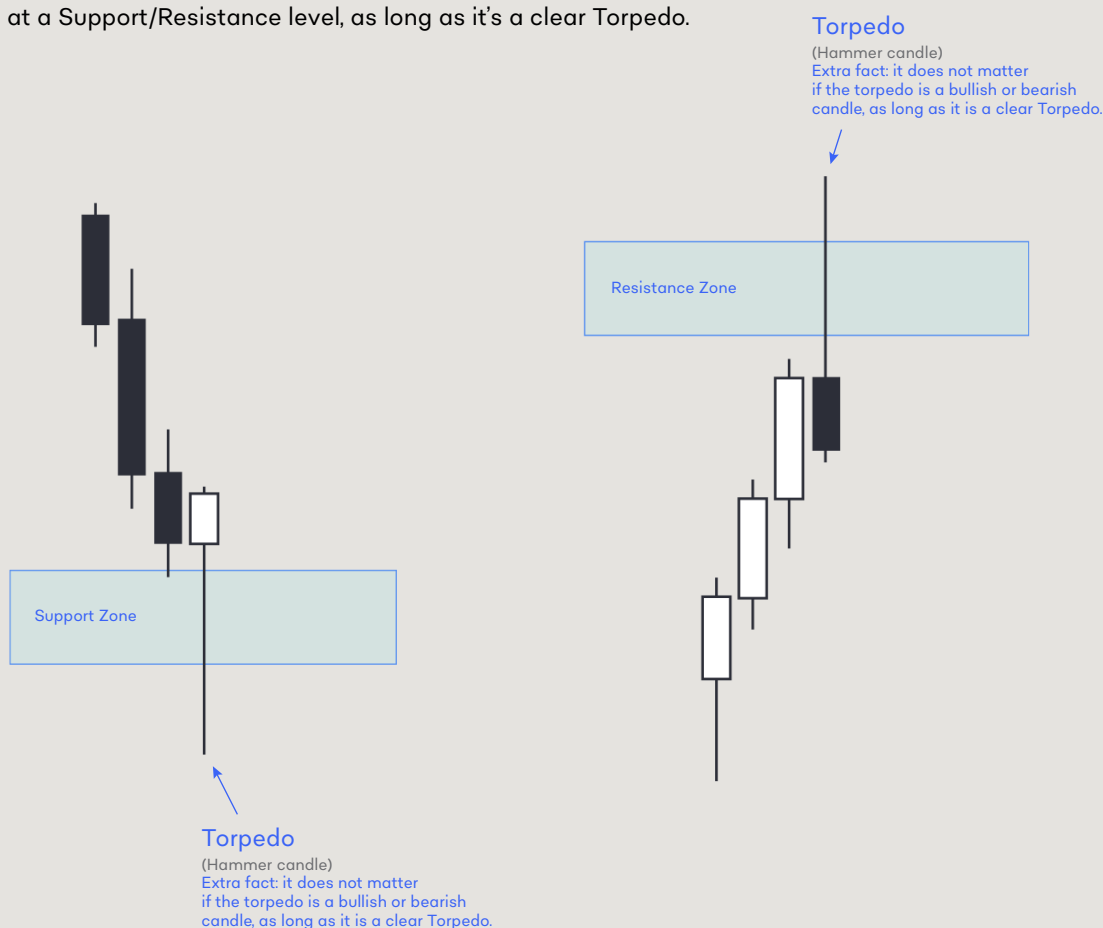
It does not matter if the Torpedo is a bullish or bearish candle at a Support/Resistance level, as long as it's a clear Torpedo.



Torpedo

WHY THIS WORKS

A Torpedo candle represents rejection. Price aggressively probes beyond a key level but is immediately pushed back, showing that buyers or sellers have firmly rejected those prices. Trading that rejection allows us to enter close to the invalidation point, keeping our risk small while participating in a potentially much larger move.



3. THE POWER BAR

A **Power Bar** forming at a support or resistance level is a strong price action signature that we want to use. This is a candle that stands out as significantly bigger than the candles surrounding it, showing that a large buyer or seller has aggressively stepped into the market right at that zone.

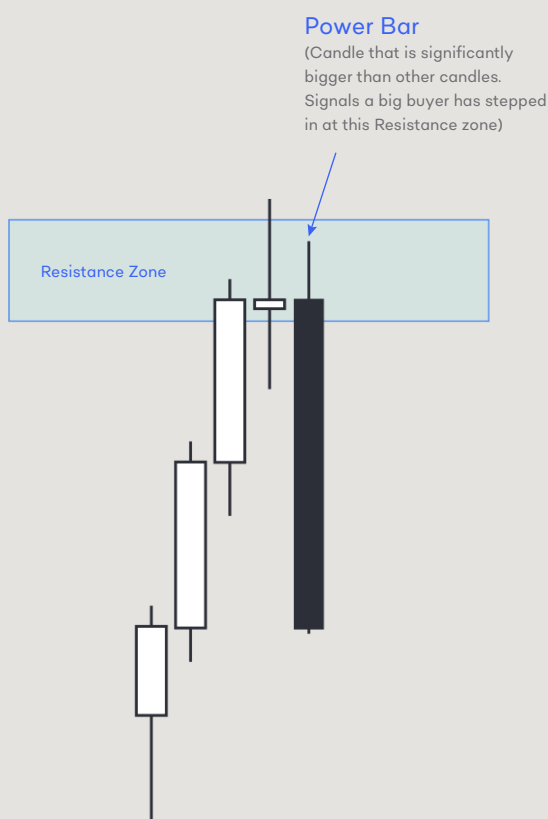
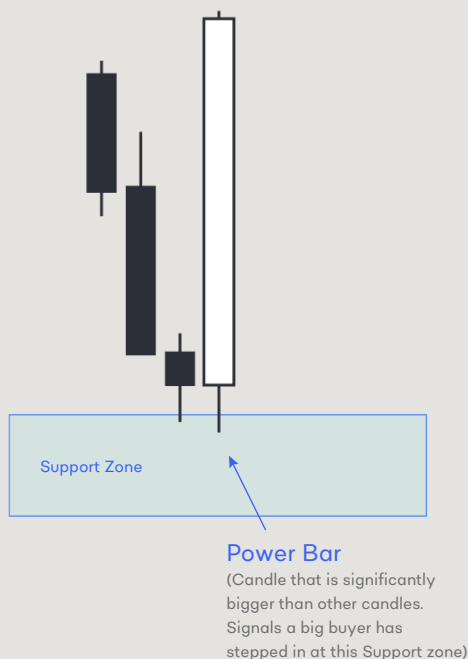
At support, an oversized bullish power bar signals that big buyers have overwhelmed the sellers, pushing price up with force. At resistance, an oversized bearish power bar shows the opposite, with big sellers taking full control. Because the size of the candle reflects the strength of the participants behind it, a power bar at a key level gives us a clear, high-conviction price action signal that momentum has shifted, making it an excellent entry signature to trade off.



Power Bar

WHY THIS WORKS

A Power Bar signals urgency. One side enters the market with enough conviction to create a candle that clearly stands out from the surrounding price action. When this happens at a key Support or Resistance zone, it suggests institutional participation and often marks the beginning of a strong directional move.



04

PART 4 **DIRECTIONAL** **BIAS**

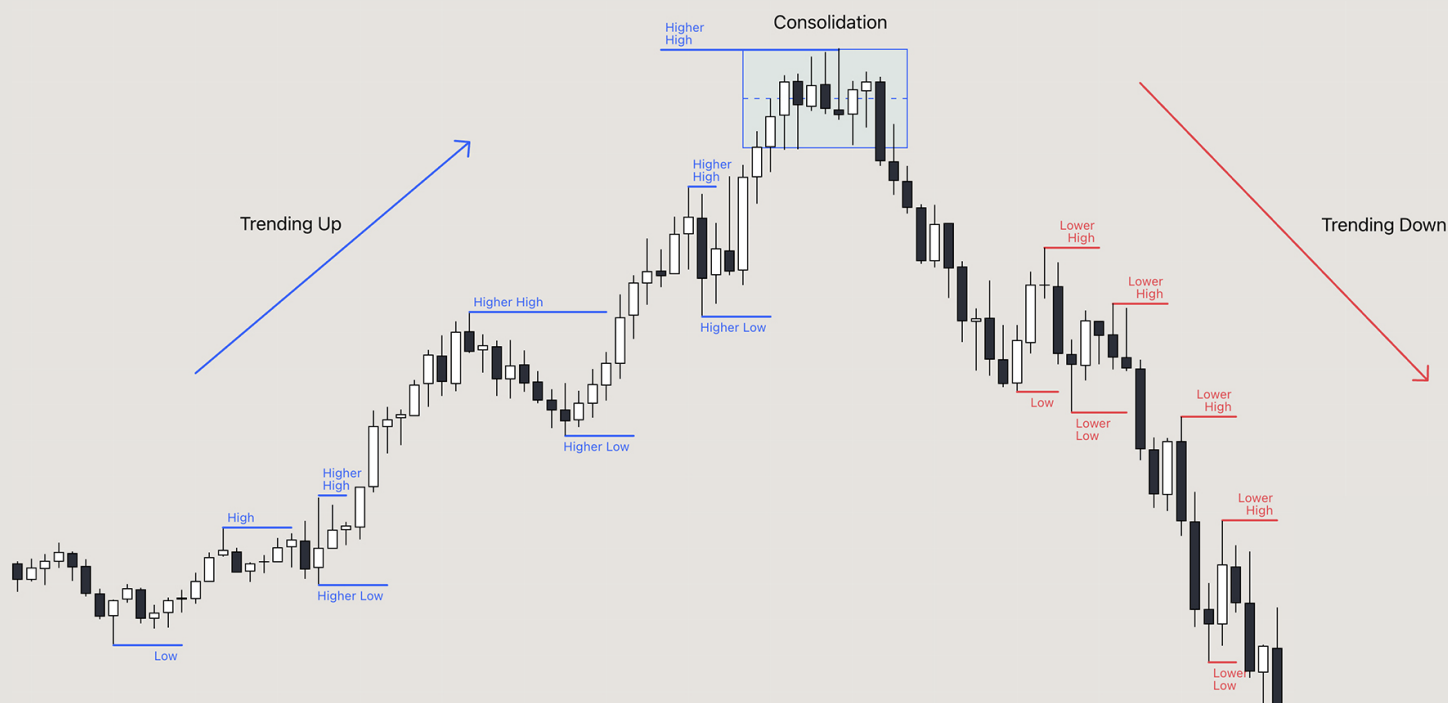
DIRECTIONAL BIAS

Before you trade, always identify the market condition on the 5-minute chart.

Contrary to other strategies, the LBS strategy can be traded when price is **trending** or **consolidating**. When price is consolidating, it bounces between Support/Resistance zones, which we can trade as usual according to our price action trade entry signatures.



Trend or range, LBS works either way



Trending Markets (TRADE THESE)

Uptrend: Price makes higher highs and higher lows

- Each swing high is above the previous swing high
- Each swing low is above the previous swing low

Downtrend: Price makes lower lows and lower highs

- Each swing low is below the previous swing low
- Each swing high is below the previous swing high

Consolidating Markets (TRADE THESE AS WELL)

Price moves sideways in a range between Support/Resistance zones. When you see this:

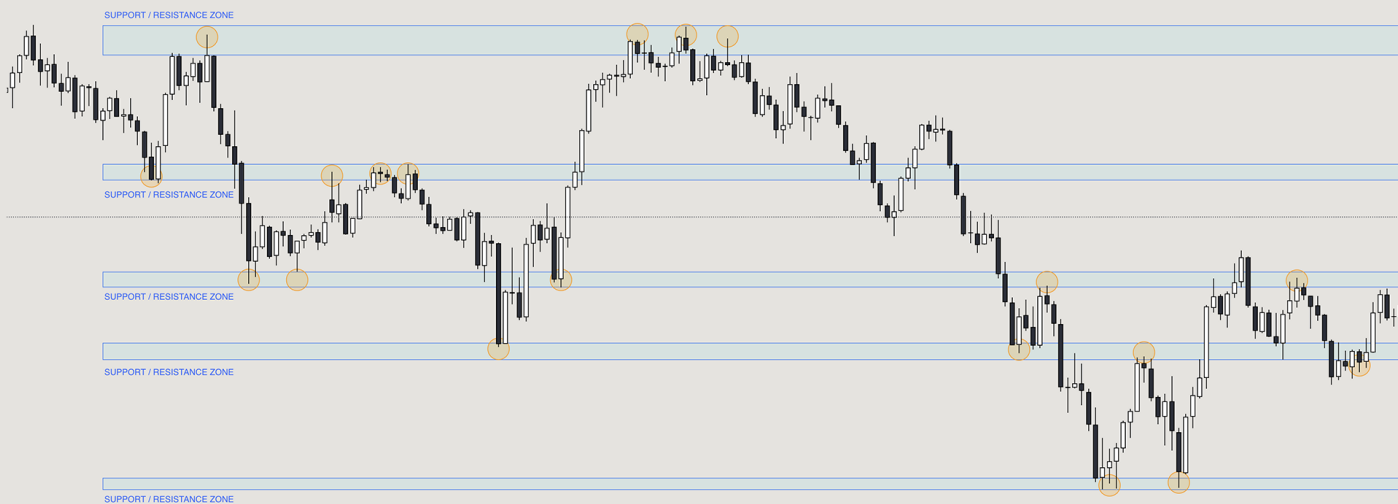
1. Look for our price action entry signatures at Support/Resistance zones
2. Trade from one end of the range to the other or the next Classic Level. Whichever one presents itself first.

05

PART 5 STEP-BY-STEP TRADE EXECUTIONS

REAL MARKET TRADE EXAMPLES 1

MNQU26 - 5
v 3



Step 1

Mark Support/Resistance zones on 5M chart.

- Look back to the left on your chart and find the most recently formed Support/Resistance zones. Draw boxes around the obvious Support / Resistance zones.
- Look for areas on the chart where price has had multiple clear price rejections.
- A Support / Resistance level is NOT a single line, it's a ZONE.

Step 2

Determine market condition on 5M chart.

- Uptrend? Downtrend? Consolidating?

Step 3

Switch to 2M chart

- Look for any of our price action entry signals at or around a Support/Resistance zone to enter a trade. Set your Take Profit (TP) either at a Classic Level or at a Support/Resistance zone (whichever one presents itself first).
- Don't put your Stop Loss (SL) too tight. Place it either just above a clear market structure point or just above a Support/Resistance zone.

MNQU26 - 2
v 3



17

20 07:30 07:40 07:50 08:00 08:10 08:20 08:30 08:40 08:50 09:00 09:10 09:20 09:30 09:40 09:50 10:00 10:10 10:20 10:30 10:40 10:50 11:00 11:10 11:20 11:30 11:40 11:50 12:00 12:10 12:20

REAL MARKET TRADE EXAMPLES 2 (ASIA SESSION)

Step 1

Mark Support/Resistance zones on 5M chart.

- Look back to the left on your chart and find the most recently formed Support/Resistance zones. Draw boxes around the obvious Support / Resistance zones.
- Look for areas on the chart where price has had multiple clear price rejections.
- A Support / Resistance level is NOT a single line, it's a ZONE.

Step 2

Determine market condition on 5M chart.

- Uptrend? Downtrend? Consolidating?

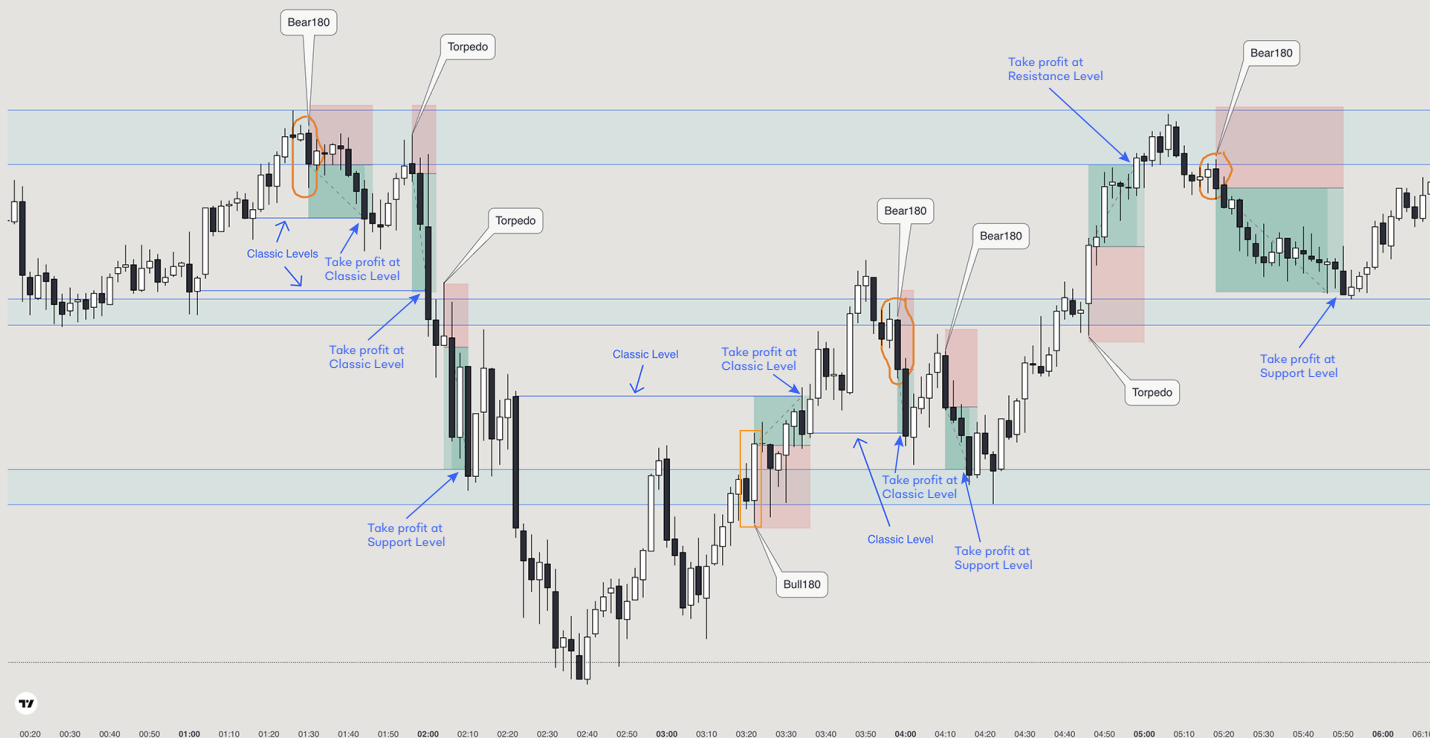
Step 3

Switch to 2M chart

- Look for any of our price action entry signals at or around a Support/Resistance zone to enter a trade.
- Set your Take Profit (TP) either at a Classic Level or at a Support/Resistance zone (whichever one presents itself first).
- Don't put your Stop Loss (SL) too tight. Place it either just above a clear market structure point or just above a Support/Resistance zone.

For this example I have skipped showing the 5M chart and we're going straight into the trade examples on the 2M chart

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REAL MARKET TRADE EXAMPLES 3 (LONDON SESSION)

Step 1

Mark Support/Resistance zones on 5M chart.

- Look back to the left on your chart and find the most recently formed Support/Resistance zones. Draw boxes around the obvious Support / Resistance zones.
- Look for areas on the chart where price has had multiple clear price rejections.
- A Support / Resistance level is NOT a single line, it's a ZONE.

Step 2

Determine market condition on 5M chart.

- Uptrend? Downtrend? Consolidating?

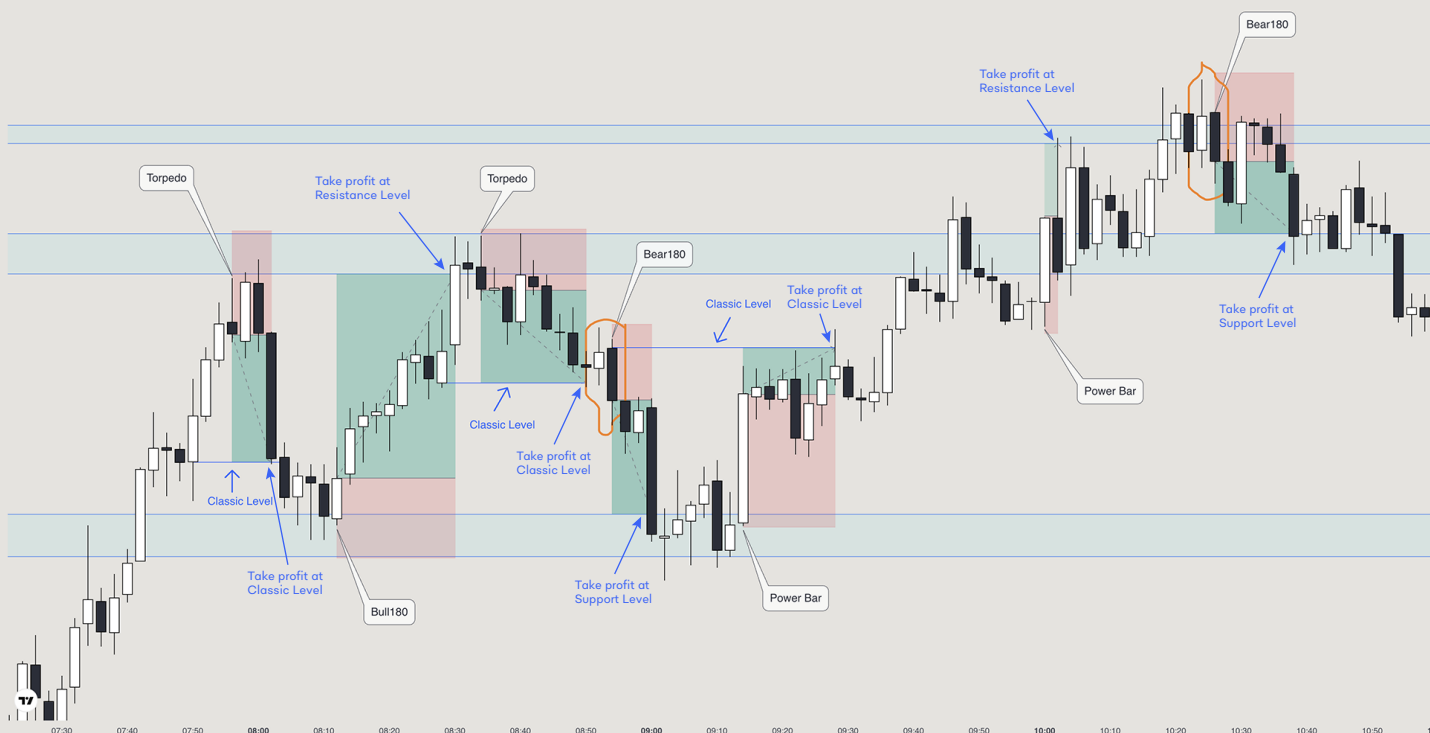
Step 3

Switch to 2M chart

- Look for any of our price action entry signals at or around a Support/Resistance zone to enter a trade.
- Set your Take Profit (TP) either at a Classic Level or at a Support/Resistance zone (whichever one presents itself first).
- Don't put your Stop Loss (SL) too tight. Place it either just above a clear market structure point or just above a Support/Resistance zone.

For this example I have skipped showing the 5M chart and we're going straight into the trade examples on the 2M chart

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REAL MARKET TRADE EXAMPLES 4 (NEW YORK SESSION)

Step 1

Mark Support/Resistance zones on 5M chart.

- Look back to the left on your chart and find the most recently formed Support/Resistance zones. Draw boxes around the obvious Support / Resistance zones.
- Look for areas on the chart where price has had multiple clear price rejections.
- A Support / Resistance level is NOT a single line, it's a ZONE.

Step 2

Determine market condition on 5M chart.

- Uptrend? Downtrend? Consolidating?

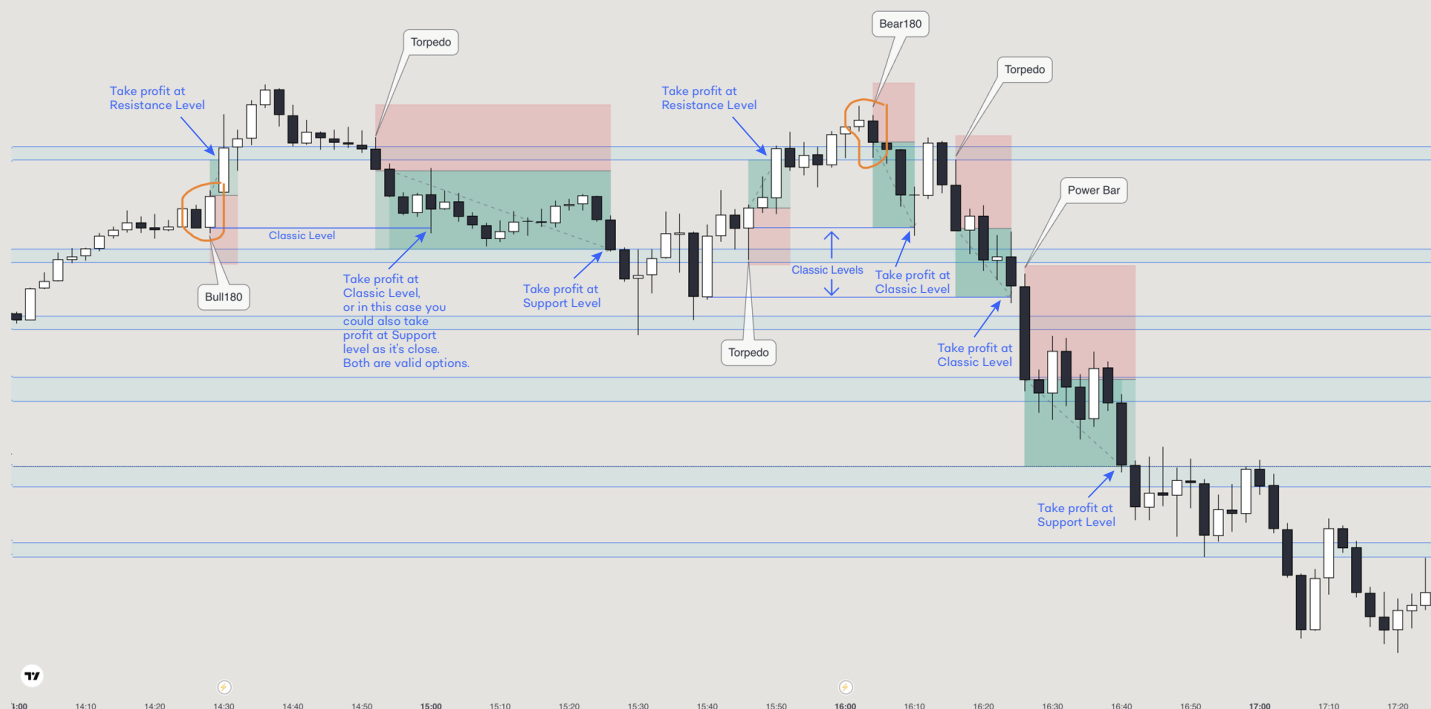
Step 3

Switch to 2M chart

- Look for any of our price action entry signals at or around a Support/Resistance zone to enter a trade.
- Set your Take Profit (TP) either at a Classic Level or at a Support/Resistance zone (whichever one presents itself first).
- Don't put your Stop Loss (SL) too tight. Place it either just above a clear market structure point or just above a Support/Resistance zone.

For this example I have skipped showing the 5M chart and we're going straight into the trade examples on the 2M chart

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06

PART 6
RISK MANAGEMENT
& POSITION SIZING

RISK MANAGEMENT & POSITION SIZING

For the LBS Strategy, we don't use preset Risk to Reward ratios because every trade is determined by what the market gives us.

The Problem with predetermined Risk to Reward settings and expectations

Many traders say:

"I only take 1:1 trades."

"I only take 1:2 trades."

The problem: Market volatility changes every day. Some days the market offers 3-point moves. Other days it offers 10-point moves.

With the LBS Strategy, our Risk to Reward is **always** determined by the distance to the next logical Support/Resistance level or Classic Level. Those distances are never the same. Trying to force every trade into a predetermined RR means you're trading your expectations instead of what the market is actually offering.

Some trades may be 1:0.8, others 1:1, 1:1.7, or even 1:3.

The market doesn't care about your preferred Risk to Reward. It moves from level to level. Our job is simply to manage our risk and let the market determine the reward!

The Solution: Level-Based Sizing

The market determines your Risk-to-Reward. Your job is to determine your position size.

The Process:

1. Decide your risk per trade

Example: \$100

2. Enter the trade undersized

Start with 2 micro contracts (or whatever is small for your account)

3. Place your stop loss

Place your stop just beyond the recent market structure or just outside the Support/Resistance zone.

4. Place your take profit

Place your TP at the next logical Support/Resistance zone or Classic Level.

5. Check your current dollar risk

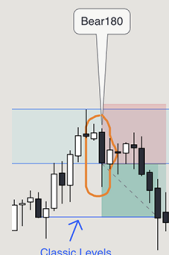
Your platform will show you: "Risk = \$20" (for example)

6. Increase your position size

Add contracts until your total dollar risk is approximately \$100. Now every trade risks roughly the same amount, regardless of stop size.

Real Market Example A (1:1RR trade)

- Distance to Classic Level TP = 5 points
- Distance to SL = 5 points
- Start small with 2 micros, risk shows approximately \$20
- Increase position size to 10 micros
- Final Risk = \$100, potential Profit = \$100



Real Market Example B (1:3.3 RR Trade)

- Distance to Classic Level TP = 10 points
- Distance to SL = 3 points
- Start small with 2 micros, risk shows approximately \$12
- Increase position size to 17 micros
- Final Risk = \$102, Potential Profit = \$340



Result:

Position size adjusts to keep your dollar risk consistent. The market determines your reward, not a preset RR ratio. Some trades return less than 1R, others 2R or more. This approach works in all market conditions. Consistent risk. Flexible reward.

07

PART 7 COMMON MISTAKES AND HOW TO AVOID THEM

COMMON MISTAKES AND HOW TO AVOID THEM

Mistake 1: Overcomplicating the Strategy

What people do:

- Adding 5+ indicators
- Look at daily or 4-hour charts
- Adding macro timezones, SMT, Unicorns, order blocks, fair value gaps, EMA crossovers, etc.

Why it's wrong: You're scalping. You trade the next 1-3 minutes. Looking at the daily or 4H charts is nonsense, as well as having too many indicators and confluences, which creates analysis paralysis that results in missed and/or losing trades. Do not add any new elements or rules to this strategy! You don't need it and it will weaken the edge that this strategy has.

Solution: On 2-minute chart, only rule: do I see one of our 3 price action entry signatures? Nothing else matters.

Mistake 2: Front-Running Entries

What people do:

- See momentum building
- "It's moving fast, I should enter now"
- Enter before candle closes.

Why it's wrong: Without a candle closing, you have no edge and no entry signature. Price will often fake you out.

Solution: ALWAYS wait for a candle to close. No exceptions. Trade what you see, not what you think.

Mistake 3: Overtrading

What people do:

- Hit daily profit goal
- "Just one more trade"
- Keep trading, give back profits, end up red

Why it's wrong: More screen time = more mistakes. Emotional decisions increase. Fatigue sets in.

Solution: Take 1-2 trades maximum. Hit your goal. LOG OFF. Repeat tomorrow.

Mistake 4: Improper Stop Placement

What people do:

- I'll keep my stop loss super tight

Why it's wrong: Stop loss too tight does not give the trade enough room to breathe and will often stop you out unnecessarily.

Solution: Always place your stop loss either just above a clear market structure point or just above a Support/Resistance zone.

Mistake 5: Tilt Trading

What people do:

- Lose 1-2 trades
- "I need to make it back"
- Oversizing, revenge trading, forcing setups

Why it's wrong: Emotional trading destroys accounts. 70% win rate means 30% are losses. This is normal.

Solution:

- Accept that losses are part of the game
- Use daily loss limits (example: \$300 max)
- Stop after 2-3 losses, even if you followed the rules perfectly
- Learn to walk away from small red days

Mistake 6: Moving Take Profit

What people do:

- "It's going so well, let me move TP higher"
- "It's not reaching my TP, let me move my TP closer"

Why it's wrong: The take profit is always determined by either a Classic Level or Support/Resistance level. Changing this destroys the edge.

Solution:

Set TP at levels. Never anywhere else. Ever.

08

**PART 8
SESSION PLANNING
AND PSYCHOLOGY**

CHOOSING YOUR TRADING SESSION

Pick ONE session that suits your lifestyle.
Don't try to trade multiple sessions.

London

- **Trade:** 03:00am - 05:00am EST
- **Characteristics:** Moderate volatility, cleaner trends, almost no red folder news, no weird Trump tweets, more forgiving.

New York Open

- **Skip:** First 15-30 minutes (9:30-10:00 AM)
- **Trade:** From 10:00 AM EST onward
- **Characteristics:** High volatility, can be chaotic early
- **Why skip the open:** Too many fake-outs, whipsaws, and trapped traders. Treat the New York open like Red Folder news. Avoid it.

New York Close

- **Trade:** Last 2 hours of market
- **Characteristics:** Directional, moderate volatility.

DAILY TRADE FREQUENCY

Target: 1-2 trades per session

Why so few?

This strategy gives you 3 to 6+ valid setups per session. You don't need all of them. You need 1-2 high-quality executions.

Example Daily Plan:

- Risk \$100 per trade
- Take 2 winning trades = \$200 profit
- Log off

The Psychology: Knowing you'll get multiple setups removes FOMO. If you miss one, another is coming. This keeps you patient and selective.

THE WAITING GAME

Biggest challenge: Patience

Some days your setup appears within 5 minutes. Other days, you have to wait 60 minutes. The market doesn't care about your schedule.

Real example: "I waited 42 minutes for my setup to appear. Trade took 1 minute 2 seconds to execute. I logged off for the day."

Principle: Don't force trades. Wait for your setup. Impatience kills accounts.

MANAGING TILT

Real story from the sessions:

"My record was 16 consecutive losses live. I went into some kind of trance-like state and just kept clicking. I literally halved my account. This was my own money, not a prop account."

Prevention strategies:

1. **Use daily loss limits:** Most trading platforms let you set a max daily loss (e.g., \$300). If you hit your DLL, log off and walk away for the day.
2. **Stop at 2 losses:** Even if you followed rules perfectly, stop. Come back tomorrow.
3. **Walk away from small red days:** This is the hardest skill. Losing \$100-200 and stopping takes discipline, but it prevents -\$500+ disasters.
4. **"Real progress starts when you get sick of your own bullshit":** You'll make the same mistakes until you don't. That breaking point is when growth happens.

FOMO MANAGEMENT

Problem: Missing a trade creates anxiety about having missed the one and only trade opportunity during a session.

Solution: Remember this: with the LBS strategy, you get at least 3 to 6+ setups per session. Missing one setup doesn't mean you wasted your time. Another is coming. Wait for it.

REALISTIC EXPECTATIONS

Win Rate: 70-75% when you master this strategy. Sometimes even higher.

This means 25-30% of your trades will be losers, even when you do everything right. This is normal. Expected. Part of the process.

No strategy wins 100% of the time.

Your job: Follow the rules regardless of individual outcomes. Over 100 trades, the edge reveals itself.

Learning Curve:

- Understanding the strategy concepts: 1-2 hours
- Executing confidently: 15+ sessions of practice
- Mastery: Months of consistent execution

09

PART 9 PROP FIRM SCALING STRATEGY

PROP FIRM SCALING STRATEGY

This is one way many traders use the strategy to scale responsibly using prop firm capital.

The Prop Firm Model

Traditional trading:

Risk your own money.

Prop trading:

Use a firm's capital, risk only a small prop firm evaluation purchase fee, keep 80-90% of profits.

Popular prop firms:

TopStep, Lucid, Tradeify, Apex Trader Funding, FTMO, etc.

The Strategy

Phase 1: Single Account

1. Buy one \$50K account (\$49-\$108 all-in fee cost)
2. Take 1 or 2 trades per day (make \$200-250 profit)
3. Pass evaluation in 12 to 15 days
4. Repeat same process on funded account
5. Take first payout as soon as you're eligible for a payout

Phase 2: Scale Accounts

1. Use payout to buy 2 more \$50K accounts
2. Continue taking 1 to 2 trades per day
3. Copy trade across all 3 accounts
4. Take second payout

Phase 3: Exponential Growth

1. Use payouts to buy 2 more accounts (now 5 total)
2. 1 to 2 trades per day, copied across 5 accounts
3. Continue scaling to 10, 15, 20 accounts

The Math

One Account:

\$233 trade × 1 account = \$233 profit

Five Accounts:

\$233 trade × 5 accounts = \$1,165 profit
(same trade, 5x profit)

Twenty Accounts:

\$225 trade × 20 accounts × 22 trading days =
\$99,000/month

Note: *This example assumes no losing days for illustration purposes only. Real trading includes losses. The key takeaway: scaling capital across multiple accounts exponentially multiplies your earning potential.*

Why this works

- 1. Low risk:** You risk \$49-\$108 evaluation fee, not thousands of dollars of your own money!
- 2. High probability:** In my own trading, this strategy has historically produced approximately a 70-75% win rate when executed according to the rules. Individual results will vary based on execution and market conditions.
- 3. Copy trading:** Most platforms allow you to copy one trade across multiple accounts instantly.
- 4. Compounding:** Each payout funds more accounts. Growth is exponential, not linear.

How to Pass Evaluations

The secret: Don't try to pass quickly.

Common mistake: "I'll full-port to hit profit target fast." Result: Blown accounts.

Smart approach:

- Risk \$100 per trade
- Target +/- \$200/day profit (2 trades)
- Take 1-2 trades, log off
- Pass in 12 to 15 days steadily

Psychology: Slow and steady > fast and reckless. Prop firms want consistent traders, not gamblers.

10

PART 10 PRACTICE AND PREPARATION

PRACTICE AND PREPARATION

Back Testing (Scroll-Back Method)

Don't use bar replay. You want to be able to already see the price action. Therefore:

Step 1: Setup

- Go to your platform (TradingView, NinjaTrader, etc.)
- Scroll back at least 15 trading sessions you would normally trade (i.e. London Session) in time

Step 2: Mark Up Charts

- Mark 5-minute Support/Resistance zones
- Identify market condition (trending/consolidating)
- Switch to 2-minute chart
- Mark all price action entry signatures & trades

Step 3: Take Screenshots

- Capture each valid setup
- Save in organized folder. Create setup bible (I use Notion)

Step 4: Repeat

- Do this for at least 15 sessions (more is better)
- Different market conditions
- Also test different sessions (London, New York, etc.)

Build Your Setup Bible

What it is: A digital library of 200+ screenshots showing winning (and losing) trade setups according to the LBS strategy rules.

Where to store it: Notion, Google Docs, Evernote, or any note-taking app.

Why it matters: Every time you review these setups, you visually train your brain to recognize patterns. When the setups appears live, you won't hesitate to execute because you've seen them 100+ times before.

Pre-Session Routine

Before you start trading:

1. Open your Setup Bible
2. Review it for 2 to 3 minutes
3. Remind yourself what you're looking for
4. Close the Setup Bible
5. Open your charts, mark them up
6. Wait for your setups and execute

What this does: Trains your pattern recognition. When the setups appear, your brain instantly says "I know this one." This will give you confidence to execute without hesitation.

Forward Testing (Live Practice)

After back testing 15+ sessions, start forward testing:

Phase 1: Minimal Risk

- Trade with 1 micro contract
- Real money (even if it's \$5 risk per trade)
- NOT paper trading (unless you are a real beginner)

Why real money?

Paper trading lacks psychological pressure. You need to feel the discomfort of real risk (even minimal) to build proper trading habits & psychology.

Phase 2: Build Consistency

- Trade for 3-5 days, or however long it takes until you feel that you've grasped the strategy while trading it in live market conditions
- Follow the rules perfectly
- Focus on process and execution, not profit

Phase 3: Scale Up

- Once consistent, increase trade size to 2 micros
- Then 3, then 4 micros, etc
- Only increase when you feel comfortable (don't oversize as it will bring additional stress)

Phase 4: Scale Up Accounts

- Start buying more prop firm accounts
- Either copy-trade the accounts or rotate them individually

11

PART 11 RULES TO LIVE BY

RULES TO LIVE BY



These are non-negotiable principles. Violate them at your own risk.

Levels tell us **WHERE** to trade. Price Action tells us **WHEN** to trade.

THE 10 COMMANDMENTS OF LBS

1. Trade LBS in trending & consolidated markets.

Trend or range, LBS works either way.

3. Use correct Support/Resistance zones

Draw boxes around the obvious Support / Resistance areas. Look for areas on the chart where price has had multiple clear price rejections. A S/R level is NOT a single line, it's a ZONE.

5. Take profit is determined by levels

Don't oppose your 1:1RR on the market. Always look at the next level to set your take profit.

7. Take 1-2 trades per day maximum.

Hit goal, log off. More time = more mistakes.

9. Follow rules regardless of outcome.

70% / 75% win rate means 30% / 25% losses. Accept it.

2. Always wait for candle body closes.

Never front-run confirmations.

Trade what you see, not what you think.

4. Only use two timeframes.

5-minute and 2-minute (or other combos stated before)

6. Set your stop loss correctly

Place it either just above a clear market structure point or just above a Support/Resistance zone.

8. Only use 1 of our 3 price action entry signals

Only use a Bear180/Bull180, a Torpedo, or Power Bar as your entry signal to get into a trade. Nothing else.

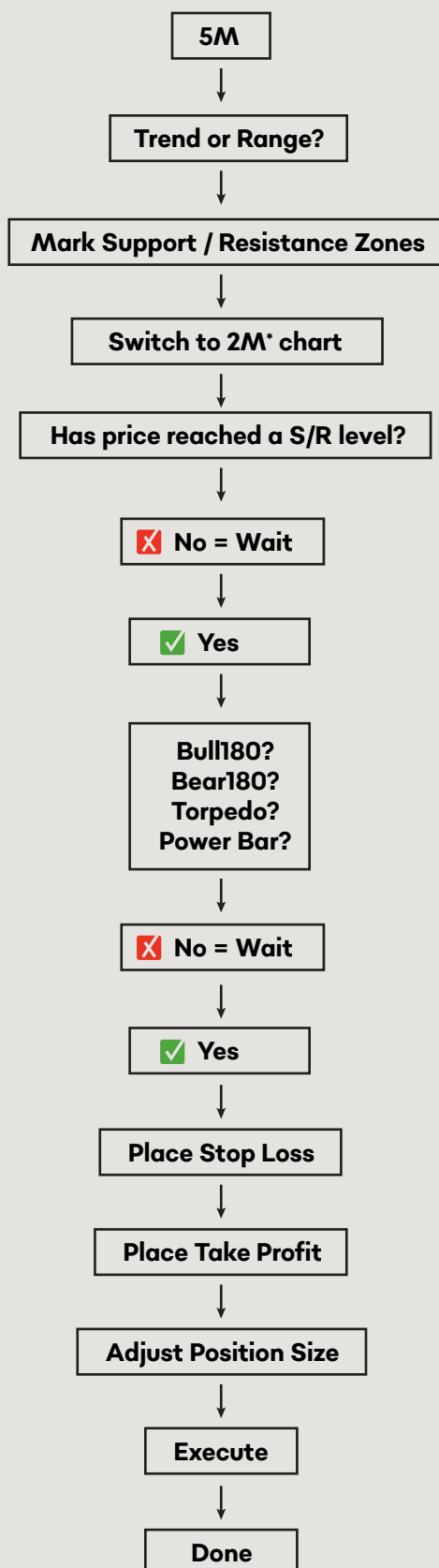
10. Patience is your edge.

Setups come. Wait for them. Don't force trades. No setup, no trade!

12

PART 12 YOUR PRE-TRADE CHECKLIST

YOUR PRE-TRADE CHECKLIST



*Or whatever your lower timeframe is based on the combinations provided at the beginning of this PDF in the "Two-timeframe System chapter"

13

**CONCLUSION:
YOUR NEXT
STEPS**

YOUR NEXT STEPS

You now have everything you need to trade the LBS strategy successfully.

Week 1: Study and Back Test

- Watch the video and read this guide 2-3 times
- Back test 15+ sessions + Take screenshots of trades
- Create your Setup Bible

Week 2: Forward Test

- Trade the LBS strategy live with 1 micro contract
- Focus on process and rules, not profit
- Review trades daily

Week 3-4: Build Consistency

- Continue forward testing
- Gradually increase trade size as confidence builds
- Aim for 70%+ win rate over 20 trades

Month 2+: Scale

- Buy first prop account
- Pass evaluation (1-2 trades/day, pass in 12 to 15 days)
- Take payout, buy more accounts
- Begin exponential growth

THE REALITY OF TRADING

This strategy works. The rules are clear.
The edge is real.

But here's the truth:

Most traders will fail. Not because the strategy doesn't work, but because they won't follow the rules.

They'll:

- Overtrade
- Oversize
- Force setups
- Move take profits
- Add more elements & rules to the strategy
- Revenge trade after losses

Your job: Don't be like 90% of losing traders.
The above mistakes are all psychological.
I can't help you with that. You have to master yourself to become a successful trader.

Follow the rules. Every time.

Even when it's boring. Even when you're losing.
Even when you want to take "just one more trade."

Consistency over complexity.

Patience over profit.

Process over outcome.

The strategy will reward you if you respect it.



FINAL THOUGHTS

Why the LBS Strategy works

Most traders lose because they constantly search for more indicators, more confirmations, and more complexity. The LBS Strategy takes the opposite approach. It focuses on three timeless principles that have always driven the markets: location, confirmation, and risk management.

We identify where trades are most likely to work (Support/Resistance and Classic Levels), wait for price to confirm our idea (Bull180, Bear180, Torpedo, or Power Bar), and control our downside through disciplined position sizing. Nothing more. Nothing less.

Simplicity isn't a shortcut, it's the edge.

You're not just learning a strategy. You're learning a skill that can generate income for the rest of your life for you and your loved ones.

Treat it with respect. Put in the work. Follow the rules.

Most importantly:

Remember why you started. Whether it's financial freedom, time with family, or proving something to yourself. Keep that reason front of mind when things get hard.

Trading is simple, but not easy.
The strategy is clear, but execution requires discipline.

The market rewards consistency, not intelligence.

Keep the strategy simple. Follow the rules. Manage your risk. Let the probabilities do the work.

And don't forget:

Levels tell us WHERE to trade. Price Action tells us WHEN to trade.

I'm wishing you good luck and let me know how you are going with the strategy!

Contact or tag me on 

<https://x.com/TheAlgOmist>